

On the flip side, an Emergency Fund can also pay for repairs that may be cheaper to do yourself rather than pay the deductible and file a claim. Many insurance companies increase your premium if you file a claim (I know, it doesn't make sense), so you want to be very careful when deciding what to file and how often.

4. RESEARCH AVAILABLE DISCOUNTS

Depending on certain characteristics of your home, you as an individual, or by housing multiple insurance policies under the same roof, insurance companies may offer you an additional discount. Since all of these options have the potential to lower your overall rate, they're definitely worth asking about!

Here are the most common ways to earn discounts:

- Bundling your home, auto, and life insurance policies together
- Installing protective devices in your home (e.g., a security system or smoke detector)
- Buying a newly built or newly renovated home
- Not filing a claim
- Maintaining good credit
- Not smoking
- Being 55 or older

However, just because a company offers you a discount, doesn't always mean it's the best option. Some policies end up being more expensive than others, even though they have four or five discounts included. Focus on the